

1-5e Interrelationships among Financial Statements

Financial statements are prepared in the order of the income statement, statement of stockholders' equity, balance sheet, and statement of cash flows. This order is important because the financial statements are interrelated. These interrelationships for [NetSolutions](#) are shown in [Exhibit 9](#) and are described in [Exhibit 10](#).

Exhibit 10

Financial Statement Interrelationships

Financial Statements Interrelationship		NetSolutions Example (Exhibit 9)
Income Statement <i>and</i> Statement of Stockholders' Equity	Net income or net loss reported on the income statement is also reported on the statement of stockholders' equity as either an addition (net income) to or deduction (net loss) from the beginning retained earnings.	NetSolutions' net income of \$3,050 for November is added to the beginning retained earnings on November 1, 20Y3, of \$0 on the statement of stockholders' equity.
Statement of Stockholders' Equity <i>and</i> Balance Sheet	Common stock, retained earnings, and total stockholders' equity at the end of the period are reported on the statement of stockholders' equity and balance sheet.	NetSolutions' common stock of \$25,000, retained earnings of \$1,050, and total stockholders' equity of \$26,050 as of November 30, 20Y3, are also reported on the balance sheet.
Balance Sheet <i>and</i> Statement of Cash Flows	The cash reported on the balance sheet is also reported as the end-of-period cash on the statement of cash flows.	Cash of \$5,900 reported on the balance sheet as of November 30, 20Y3, is also reported on the November statement of cash flows as the end-of-period cash.

The unique role of the balance sheet as the connecting link between the statement of cash flows, income statement, and statement of stockholders' equity is illustrated in [Exhibit 11](#) for NetSolutions.

Exhibit 11

Balance Sheet as Connecting Link

NetSolutions Balance Sheet November 30, 20Y3										
Assets				=	Liabilities	+	Stockholders' Equity			
Cash	+	Supplies	+	Land	=	Accounts Payable	+	Common Stock	+	Retained Earnings
.	.	.	.	.	.	.	.	.	.	.
\$5,900		\$550		\$20,000		\$400		\$25,000		\$1,050
\$26,450					\$26,450					
Total Assets					Total Liabilities + Stockholders' Equity					

NetSolutions Statement of Cash Flows For Month Ended Nov. 30, 20Y3		NetSolutions Income Statement For Month Ended Nov. 30, 20Y3		NetSolutions Statement of Stockholders' Equity For Month Ended Nov. 30, 20Y3		
Operating activities	\$ 2,900	Revenues	\$ 7,500		Common Stock	Retained Earnings
Investing activities	(20,000)	Expenses	(4,450)			
Financing activities	23,000	Net income	\$ 3,050	Bal., Nov. 1	\$ 0	\$ 0
Nov. 30 cash	\$ 5,900			Issued stock	25,000	25,000
				Net income		3,050
				Dividends		(2,000)
				Bal., Nov. 30	\$25,000	\$ 1,050
						\$26,050

The preceding interrelationships are important in analyzing financial statements and the impact of transactions on a business. In addition, these interrelationships serve as a check on whether the financial statements are prepared correctly. For example, if the ending cash on the statement of cash flows does not agree with the balance sheet cash, then an error has occurred.

Check up Corner 1-2

Financial Statements

Levart Travel Service's assets and liabilities at December 31, 20Y6, and its revenue and expenses for the year follow.

Accounts payable	\$ 12,200	Land	\$ 90,000
Accounts receivable	31,350	Miscellaneous expense	12,950
Cash	53,050	Office expense	63,000
Common stock	100,000	Supplies	3,350
Fees earned	263,200	Wages expense	131,700

The retained earnings were \$30,000 on January 1, 20Y6, the beginning of the year. During the year, no common stock was issued and dividends of \$20,000 were paid.

- Prepare an income statement for the year ended December 31, 20Y6.
- Prepare a statement of stockholders' equity for the year ended December 31, 20Y6.

- c. Prepare a balance sheet as of December 31, 20Y6.
- d. Indicate the interrelationships of these three financial statements.

Analysis for Decision Making

Ratio of Liabilities to Stockholders' Equity

The basic financial statements illustrated in this chapter are useful to bankers, creditors, stockholders, and others in analyzing and interpreting the financial performance and condition of a company. Various

tools and techniques that are often used to analyze and interpret a company's financial performance and condition are described and illustrated in the Analysis for Decision Making section. We begin with a method for analyzing the ability of a company to pay its creditors.

Objective 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The relationship between liabilities and stockholders' equity can be expressed as a **ratio of liabilities to stockholders' equity** (A comprehensive leverage ratio that measures the relationship of the claims of creditors to stockholders' equity; a solvency ratio that measures how much of the company is financed by debt and equity, computed as total liabilities divided by total stockholders' equity.)

, as follows:

$$\text{Ratio of Liabilities to Stockholders' Equity} = \frac{\text{Total Liabilities}}{\text{Total Stockholders' Equity}}$$

To illustrate, the following data (in millions) from recent balance sheets of **Twitter (TWTR)** and **Alphabet (GOOG)** are used.

	Twitter	Alphabet
End of Year 1		
Total liabilities	\$2,365	\$ 44,793
Total stockholders' equity	5,047	152,502
End of Year 2		
Total liabilities	\$3,357	\$ 55,164
Total stockholders' equity	6,806	177,628

The ratios of liabilities to stockholders' equity for Twitter and Alphabet are computed as follows:

$$\text{Ratio of Liabilities to Stockholders' Equity} = \frac{\text{Total Liabilities}}{\text{Total Stockholders' Equity}}$$

Twitter:

$$\text{End of Year 1: } \frac{\$2,365}{\$5,047} = 0.47$$

$$\text{End of Year 2: } \frac{\$3,357}{\$6,806} = 0.49$$

Alphabet:

$$\text{End of Year 1: } \frac{\$44,793}{\$152,502} = 0.29$$

$$\text{End of Year 2: } \frac{\$55,164}{\$177,628} = 0.31$$

The rights of creditors to a business's assets come before the rights of stockholders. Thus, the lower the ratio of liabilities to stockholders' equity, the better able the company is to withstand poor business conditions and to pay its obligations to creditors.

Alphabet is a very profitable company that requires very little debt. Alphabet's ratio of liabilities to stockholders' equity was 0.29 at the end of Year 1, while increasing slightly to 0.31 at the end of Year 2. Ratios less than 1.0 are protective to creditors. Thus, Alphabet's ratios indicate little creditor risk. In contrast, Twitter's ratio of liabilities to stockholders' equity of 0.49 at the end of Year 2 is over 50% more than that of Alphabet's, indicating more risk to Twitter's creditors. Creditors normally would not be concerned with a liabilities to stockholders' equity ratio of 0.49. In addition, the increase to 0.49 in Year 2 from 0.47 in Year 1 indicates only a minor decrease in protection for creditors.

Make a Decision

Ratio of Liabilities to Stockholders' Equity

Compare Amazon.com to Best Buy (MAD 1-1) (Continuing company analysis)

Analyze Target for Three Years (MAD 1-2)

Analyze Walmart for Three Years (MAD 1-3)

Compare Target and Walmart (MAD 1-4)

Compare Wendy's and Chipotle Mexican Grill (MAD 1-5)

Chapter 1: Introduction to Accounting and Business: 1-5e Interrelationships among Financial Statements

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